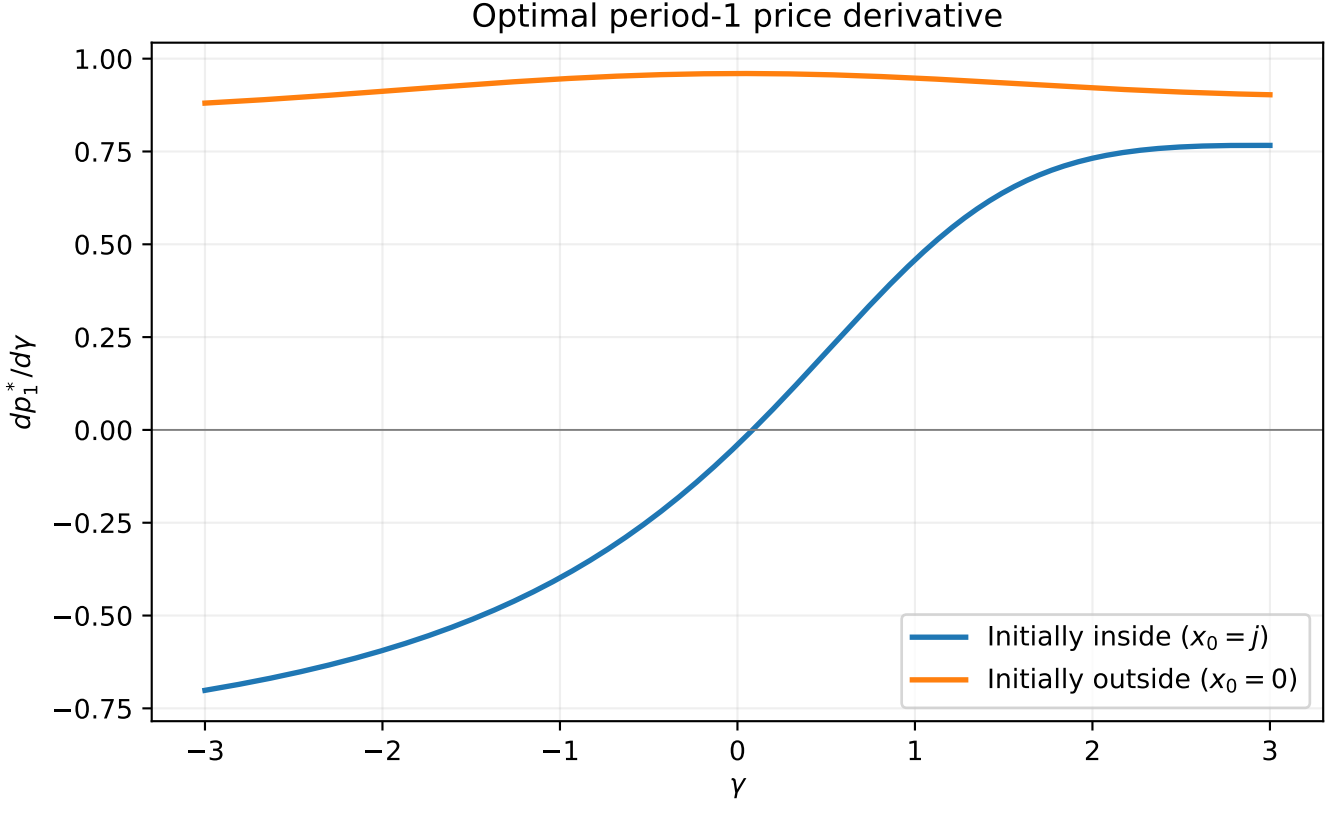
Optimal period-1 price derivative
1.00
0.75
0.50
0.25
0.00
−0.25
−0.50
−0.75
$dp_1^*/d\gamma$
−3
−2
−1
0
1
2
3
γ
Initially inside ($x_0 = j$)
Initially outside ($x_0 = 0$)